

Building a Home

It may be that you're not interested in improving your home, but in building it yourself. This is a huge undertaking and will require a commitment of time and money.



Debt consolidation is the number-one reason people use home equity loans. According to the Consumer Bankers Association, 44 percent use the loans to pay off credit card and other consumer debt and 25 percent use the money to make home improvements. Other uses include buying a car, education costs, or a major purchase.

If you've decided to buy a custom-built house, interview several builders. Ask for references from the ones you like and call the recent home buyers who used the builder. If the project is still in progress, ask if you can see it. Try to look at a finished house as well. Call your local Better Business Bureau, consumer protection agency, and state attorney general's office to see if there have been complaints about the builder, and if so, the nature of the complaints and whether the builder rectified the problems. Before you sign a contract, verify that the builder has property, liability, workers' compensation, and builder's risk insurance.

There are special loans for building your own home. You may need to take out two separate loans: a construction loan and a regular mortgage. An interim construction loan provides money to the builder and subcontractors while your house is being built. During the building process, you pay only interest on the loan. When the house is completed, the construction loan is converted to a regular mortgage. You'll probably need a commitment letter from the permanent mortgage company in order to get the interim loan because the commitment letter pledges to pay off the construction loan